

SECTION A – CASE QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

You are Chris, an audit manager at GY Hong Kong CPA Firm ("GY-HK"). You and an audit partner, James, have been assigned to take up the financial year 2024 ("FY2024") consolidated financial statements audit for InnoBio Group Limited ("InnoBio" or "the Group"), a non-listed private group.

InnoBio, a leading biotechnology company based in Hong Kong, specialises in innovative cancer treatments. It operates laboratories in Hong Kong, Germany and Japan to leverage diverse expertise and cutting-edge research environments. These locations were chosen to foster global collaboration, access a wide talent pool, and ensure proximity to key markets and regulatory bodies.

Research and Development ("R&D") expenses are significant for InnoBio. According to the latest management account, the R&D expenses account for over 60% of InnoBio's total expenses in FY2024. InnoBio invested HK\$350 million in R&D projects, including an HK\$200 million multi-year cancer drug development initiative. This investment included the following:

	HK\$'000
Employee benefits expenses	200,000
Laboratory and sample fees	100,000
Other technology costs	50,000
Total R&D expenses	350,000

InnoBio has established a detailed process to evaluate projects for R&D capitalisation. This process involves thorough documentation and review by directors of the R&D department and the finance department. This process aims to ensure that only eligible costs are capitalised as R&D expenses. InnoBio implements various internal controls to manage these expenses, including:

- Expense Tracking: Advanced accounting software tracks R&D expenditures in real time;
- Timesheet Records: Hours spent on different projects are monitored through detailed timesheets;
- Approval Controls: R&D spending on new projects requires rigorous approval processes; and
- Management Review: Senior management regularly reviews financial reports.

InnoBio has received numerous government grants in different countries or regions, including direct subsidies, rent-free office space, and salary support for scientists. There are various types of criteria stipulated in different government grants across countries or regions.

The majority of government grants in FY2024 were provided by the government of the Hong Kong Special Administrative Region to encourage collaboration among high-tech companies. To qualify, applicants must (i) have over 70% of laboratory staff in Hong Kong and several regions in mainland China; and (ii) ensure R&D expenses account for at least 50% of total expenses for the coming 3 years. The government prepays HK\$60 million in the first year to support R&D activities and requires an independent auditor to verify compliance each fiscal year. If the criteria are not met, the government can reclaim part of the subsidy with interest. InnoBio applied for such grants and received HK\$60 million in FY2024 and recorded HK\$20 million as "Other income - government grants" and HK\$40 million as "Deferred government grants" in the FY2024 consolidated financial statements.

You checked the relevant Hong Kong Accounting Standards and noted:

- Grants from the government are recognised at fair value where there is reasonable assurance that the grant will be received and the company will comply with all specific conditions.
- Government grants related costs are deferred and recognised in the consolidated statements of profit or loss over the period necessary to match them with the costs they are intended to compensate.

InnoBio established an internal audit department to enhance corporate governance. A recent internal audit review in FY2023 identified the following issues: (i) a high turnover rate in the R&D department led to inconsistencies in applying capitalisation criteria, resulting in some projects being improperly capitalised; (ii) irregularities in timesheet entries; (iii) inconsistencies in expense invoices and allocations; and (iv) potential non-compliance with government grant conditions due to improper filing of subsidy agreements and insufficient documentation to prove compliance with criteria.

There is significant pressure to meet financial targets in order to continue meeting investors expectations and raise additional fundings. The Chief Executive Officer (CEO) has emphasised the importance of achieving these targets, urging the Chief Financial Officer (CFO) to ensure compliance with government grant criteria in order to avoid any refunds required. During a recent board meeting, a proposal was made to classify certain administrative and promotional expenses as R&D expenses to meet grant criteria.

InnoBio meticulously maintains its accounting records at local offices, with the Hong Kong headquarters consolidating management accounts and preparing the consolidated financial statements. For the subsidiaries in Germany and Japan, InnoBio engages GY Germany CPA Limited ("GY-DE") and GY JP CPA Limited ("GY-JP"), part of your network firms, to support the respective local statutory audits.

As the Group auditor for InnoBio, your audit team plans to engage GY-DE and GY-JP as component auditors to support the FY2024 Group's financial statement audit, as operations in Germany and Japan are significant components of InnoBio. You know from previous audit team members that in previous years, GY-DE and GY-JP provided their statutory standalone auditor's reports to GY-HK before GY-HK finalised InnoBio's audit engagement. Due to language barriers, they did not translate and provide access rights to their audit working papers, but conducted a web interview with your team to discuss key audit issues in English. The CFO has proposed that your audit team follow a similar approach in FY2024 as in previous years, and they will assist in coordinating with the Germany and Japan subsidiaries and discuss with GY-DE and GY-JP when necessary.

Question 1 (13 marks – approximately 23 minutes)

- (a) Evaluate the risk of material misstatements relating to R&D expenses in terms of classification assertion. (5 marks)
- (b) Propose audit procedures to address the risk of material misstatements identified in Question 1(a). (8 marks)

Question 2 (10 marks – approximately 18 minutes)

- (a) Evaluate the risk of material misstatements relating to "Other income - government grants" in terms of accuracy assertion. (4 marks)
- (b) Propose audit procedures to address the risk of material misstatements identified in Question 2(a). (6 marks)

Question 3 (6 marks – approximately 11 minutes)

Considering the previous year's arrangement with the component auditors, Keith, the audit senior, considers that GY-HK can follow the same arrangement with GY-DE and GY-JP in the FY2024 Group audit plan.

Required:

Advise on whether you agree with Keith's proposal. Please state your reasons.

Note: A maximum of 2 marks for analytical skills will be awarded.

(6 marks)

Question 4 (15 marks – approximately 27 minutes)

Prepare a memo to James, your audit partner, to propose key audit considerations when reviewing audit works from the component auditors (including the planning, execution and completion phases).

Note: A maximum of 2 marks for communication skills will be awarded.

(15 marks)

Question 5 (6 marks – approximately 11 minutes)

The CFO would like to engage your firm to perform the following services:

- (a) Advisory services on transfer pricing issues across different countries in which the Group operates; and
- (b) Advisory services to remediate the internal audit findings in FY2023.

Required:

For each non-assurance services above, evaluate if there is any independence threat to your firm and propose safeguards if necessary.

(6 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 6 (15 marks – approximately 27 minutes)

- (a) You are the auditor of Alpha Limited ("Alpha") and are now performing the confirmation procedures for Alpha's trade payable balances as of 30 June 2025, being the year-end date. Due to the tight reporting deadline to report the audited financial information to Alpha's parent company for consolidation purposes, you are considering to circularise negative confirmations to its trade payables based on the balances as of 31 March 2025. You understand that circularising negative confirmations and confirming account balances as of a different reporting date are permitted, but certain criteria are required to be met.

Required:

Advise under what conditions that you can circularise negative confirmations to Alpha's trade payables based on the respective balances as of 31 March 2025 for the year-end balances of 30 June 2025.

(5 marks)

- (b) You are the auditor of Beta Limited ("Beta") and are now auditing the trade receivable balances as of 30 June 2025. You have circularised confirmations for seven key balances and five random samples. Out of the twelve confirmations, only two key trade receivables responded with agreements, and they were new customers who had business with Beta this year. However, you noted that both confirmations were sent from the same address which is different from the ones that you sent out. For the remaining confirmations, none of them have responded.

Required:

Advise on your further actions to be taken and any of your risk assessment and audit procedures in response to the above situation.

(5 marks)

- (c) You are the auditor of Gamma Limited ("Gamma") and are now auditing customers' rebates for the year ended 30 June 2025. During the year, there were two one-off payments, each of which amounted to HK\$10 million recorded as rebates to two key customers. At the year-end date, Gamma had small outstanding balances with these two customers. You have circularised positive confirmations to these two key customers. One responded that they did not receive any rebates from Gamma during the year and another one responded that the amount of rebate that they received is significantly lower than that stated on the confirmation.

Required:

Advise on the possible implications of the disagreements responded to by customers and your follow-up actions.

(5 marks)

Question 7 (12 marks – approximately 22 minutes)

Star Medical Clinic is exploring implementing a new operational system to improve its internal controls. Management expects this new system to assign an account for each patient who registers with the clinic, track and record a completed process comprising the doctor's diagnosis and medication prescription, calculation of fees charged and recording of the distribution of prescribed medication for each patient.

Required:

(a) Describe the expected general controls in this new system which can:

- (i) prevent and identify unauthorised access;**
- (ii) prevent unauthorised alternation of programme and data; and**
- (iii) ensure continuity of the system operation.**

Note: A maximum of 2 marks are awarded for each of (i), (ii) and (iii) above.

(6 marks)

(b) Describe the expected application controls in this new system to ensure:

- (i) the completeness, accuracy, and authorisation over input and process in the system; and**
- (ii) appropriate alternation of master files and data in the system.**

Note: A maximum of 3 marks are awarded for each of (i) and (ii) above.

(6 marks)

Question 8 (13 marks – approximately 23 minutes)

Gooday Properties Development Limited ("Gooday") is a property developer listed in Hong Kong which constructs residential properties in re-developed areas. Its properties held for sale are valued at the lower of cost and net realisable value ("NRV"). NRV is the expected selling prices less cost to sale. The "Prices indices for Hong Kong Property" announced by the Rating and Valuation Department indicate that the domestic property index has been dropping for consecutive years since 2022. Due to the sluggish property market situation in Hong Kong, Gooday is at risk of facing a loss arising from a significant NRV provision for the current year ending 31 December 2025. You are the auditor of Gooday.

Required:

- (a) Evaluate the risk of material misstatements relating to the valuation assertion of Gooday's properties held for sale as of 31 December 2025. (5 marks)
- (b) Your team has completed the audit procedures for the NRV provision of Gooday's properties held for sale, and no irregularities were identified, except for the following two property sites, which have a complex situation.
- (i) Property 1 represents the remaining car parks of a re-developed property site which completed its construction five years ago. The cost of these car parks is HK\$295,000 per unit. As no sales of car parks have been noted for the last three years, management used the selling price that was transacted three years ago, which was HK\$300,000 as the NRV, concluded that no NRV provision is required. (4 marks)
- (ii) Property 2 represents a re-developed property site under construction. Management provides an internal valuation report which indicates that the fair value of Property 2 is above cost. The fair value was determined based on an assumption that the property selling price will rebound by next year with a compound growth rate of 15%. This was made with reference to the last financial crisis, the property prices were at their bottom after three years' downturn. The fair value was also estimated based on the selling price of an adjacent property applying with a 15% compound growth, coupled with the cost control campaign. No NRV provision is considered necessary. (4 marks)

Evaluate the relevance, reliability and adequacy of audit evidence obtained to support the management representation that no NRV provision is necessary for both Property 1 and Property 2. Explain your answer.

Question 9 (10 marks – approximately 18 minutes)

The board of directors of Friendly Bank (the "bank"), comprised three executive directors and two independent directors, has recently been sanctioned with a fine of HK\$500,000 due to the bank's breach of directors' duties and responsibility without safeguarding the bank's assets. It was uncovered that the bank has granted significant amounts of loans to three overseas entities during the years between 2022 to 2024 without going through the normal due diligence procedures by branch level. The approval of these loans was approved by one of the directors. Significant amounts of loan defaults were subsequently found which are associated with individual borrowers who were the related parties of one of the directors. The incidents were reported by the bank's internal audit department head to that director, but no course of action has been taken.

The regulator has asked the board of directors to review the bank's existing corporate governance structure including its internal control process on granting the loans and take necessary remediation.

Required:

Propose actions that the board of directors of the bank should consider in response to the regulator's request.

(10 marks)

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